

The Australian Government is investing in our meat export sector. The key objectives are to:

- Modernise Australia's regulatory approach by embedding our systems and processes as best practice and undertaking assurance more efficiently.
- Reduce regulatory cost and administrative burden for processors and exporters of meat and meat products, creating opportunities for Australian exporters to be more competitive internationally.
- Make better use of innovative technologies for robust, real-time and risk-based regulation.
- Maintain and strengthen Australia's already strong global reputation for a robust and verifiable regulatory meat export system.
- Embed and demonstrate a culture of innovation, transparency and mutual respect between the department and the export meat sector.

Congestion busting

We are busting congestion for agricultural exporters. Work is progressing that will:

- get Australian agricultural products to international markets faster
- support jobs in rural, regional and remote Australia.

Leadership

The Meat Modernisation Working Group (MMWG) was created in 2020 and comprises of senior industry and departmental representatives. Industry representatives include members of the Australian Meat Industry Council (AMIC) as the peak body representing processors and manufacturers, JBS and Teys.

The MMWG is co-led by the Deputy Secretary of the Agriculture Trade Group, David Hazlehurst, and Terry Nolan, Australian Meat Industry Council (AMIC) National Processor Council Chair and Nolan Meats Director.

In 2018, the Australian Meat Processor Corporation conducted an independent review of the [Australian Export Meat Inspection System \(AEMIS\)](#). This review looked at whether the AEMIS was still effective, efficient and fit for purpose. The MMWG-agreed modernisation agenda has both considered these recommendations and developed new recommendations, each aimed at:

- strengthening Australia's reputation as a provider of high quality, safe meat, underpinned by a robust and digitally enhanced regulatory system
- adopting a risk-based audit approach to encourage high performing industry participants
- streamlining regulatory requirements to accelerate delivery of inspection and verification reforms
- making better use of technology for robust, real-time, risk-based regulation
- increasing cooperation with states and territories and significant commercial buyers to streamline processes
- fostering a culture of information sharing between the regulator and regulated entities.

Key to all projects is maintaining and enhancing our valuable market access arrangements and meeting the requirements of trading partners.

What are the projects?

Noting that engagement with, and in some cases, obtaining the agreement of trading partners to the modernisation activities proposed, the MMWG have a number of projects underway or in the pipeline. The projects, spanning from October 2020 to June 2025 include:

The full implementation of the Australian Authorised Officer model will see departmental officers provided to export establishments only where there is a requirement to do so to meet importing country requirements. This means that the department will not provide Food Safety Meat Inspectors (FSMAs) where the function could otherwise be provided through the use of Australian Government Authorised Officers (AAOs). The move to this inspection model fully implements the 2011 AEMIS reforms. This will deliver an anticipated \$16 million per annum reduction in the department's regulatory cost base.

To support these reforms, amendments to the [Export Control \(Meat and Meat Products\) Rules 2021](#) came into force from 1 January 2022 to embed the inspection reform policy in legislation. The department will continue to allocate FSMAs in accordance with market access requirements and an existing allocation of meat inspection services may be removed if there is no importing country requirement for a Commonwealth authorised officer to be present at the establishment.

As part of inspection reform, the MMWG has developed a revised policy regarding the positioning and roles of the FSMA in multi-person chains. This revised policy offers greater flexibility as it enables the FSMA to operate and move between the carcass post-mortem inspection position and the end-of-chain position.

To learn more about meat inspection reform and access the inspection reform policies visit [Modernisation of the Australian Export Meat Inspection System](#) and [Post-mortem inspection roles of the Food Safety Meat Assessor \(FSMA\) in red meat processing establishments](#).

The Australian red meat and pork industries have completed a scientific review into the process by which a meat carcass is inspected. This review has shown that the inspection process can be improved, preserving more of the carcass as a high value product while improving food safety outcomes due to less handling. This review has been accepted by state, territory and commonwealth food regulators and has already been implemented domestically. Implementation of the review findings into the post-mortem inspection process requires a change to the Australian Standard. Pending the agreement of trading partners, a return of approximately \$30 million per annum to the sector is anticipated to be delivered. The benefit is in relation to the increased carcass value as meat inspectors will no longer be required to incise certain carcass parts as part of the inspection procedure which increases the value of those parts.

The department, in consultation with the Australian Meat Industry Council (AMIC) has developed a market access prioritisation framework. The market access prioritisation framework was accepted by the Export Meat Industry Advisory Council (EMIAC) at its August 2020 meeting. The framework will provide greater clarity as to the priorities agreed between industry and the department and assist with

the appropriate allocation of resources to market access priorities for meat and meat products. This project provides greater transparency on key priorities and shared vision for the sector providing opportunities to reduce non-tariff barriers.

To learn more about accessing the Market Access Prioritisation Framework and submitting meat market access requests visit [Manual of Importing Country Requirements \(Micor\) - Meat](#).

This initiative will see all export establishments transitioning to a six-monthly audit regime. From 30 September 2021, establishments previously audited on a monthly basis were required to transition to a six-monthly audit regime, taking greater responsibility and autonomy for managing their assurance systems in accordance with their Approved Arrangements. To ensure ongoing success, export participants are required to ensure quality assurance systems are sufficient to adequately manage the food safety and product integrity elements of their business. Government auditors will undertake verification, rather than guidance, activities. The implementation of this proposal is expected to result in a reduction of \$0.6m per annum in the department's cost base.

The MMWG has developed a risk-profiling capacity and eligibility criteria for Tier 2 export meat establishments to transition to a risk-based annual audit schedule. From 30 September 2021, highly-compliant export establishments, with capacity to provide real-time assurances on product safety and integrity, are able to apply to the department to transition to an annual audit regime. Conversely, those establishments who are not meeting required compliance levels consistently, may be audited more frequently. Highly-compliant export establishments will see savings of \$16,200 per annum through a reduction in audit fees and charges.

To learn more about the eligibility criteria visit [Eligibility criteria for Tier 2 export establishments to move to an annual audit frequency](#).

Australian meat and meat products for export undergo species testing to provide assurances that the correct species is being sent on an export consignment, and for confirmation that labelling accurately identifies the product. The department is currently responsible for this. This proposal reviews the current risks and transitions responsibilities to industry for ongoing assurance testing with the department maintaining oversight through its assurance processes.

The Product Hygiene Indicator (PHI) is a monitoring system that operates at all export establishments supplying major markets. The program comprises a series of key performance indicators that when combined, produce an overall measure as to the hygienic performance of meat establishments. This reform will involve reducing carcase monitoring activity, removal of Salmonella monitoring on red meat carcasses and introducing microbial monitoring on primal meat and offal. This reform is in line with a 2019 national scientific review (conducted by the South Australian Research and Development Institute) which identified areas for improvement without impacting food safety outcomes. This project is anticipated to see a \$6 million per annum economic benefit, retained within the sector.

This modernisation proposal will seek to review and revise guidance to regulated entities. Information sources used for guidance are currently found in a number of places. In the short term, documents, such as Meat Notices and Market Access Advice notices, are used. Over time, these temporary sources

become overwhelmed with information which becomes hard to locate in a timely manner. Guidance is across multiple, client-facing systems and can be difficult to view in entirety. This proposal seeks to provide a single portal regarding regulatory requirements for regulated entities in a clear and concise way, including making relevant instructions to the department's own staff being made available to industry. Reliance on multiple sources to understand requirements can lead to confusion and excessive compliance costs for the sector. Implementation of this proposal will reduce costs and administrative burden associated with determining requirements under current practices. Further, regulated entities will be clear on rules of regulation, and penalties for non-compliance.

Changes have been introduced to allow establishments to make non-significant variations to their Approved Arrangement without seeking immediate departmental approval. Under previous arrangements, all amendments were reviewed for compliance and approved by departmental food safety auditors prior to implementation. This resulted in delays to the ability of establishments to implement changes quickly and efficiently. Any significant variations that have potential to impact on compliance with food safety, product integrity and importing country requirements require prior approval in accordance with existing regulations. Implementation of this proposal is expected to result in economic benefits to the sector through a reduction in administrative burden and opportunity costs from delayed implementation. This includes the ability to apply resources to more critical functions, for both establishments and the department.

For guidance and to learn more about making non-significant variations to Approved Arrangements visit [Significant and non-significant variation of an establishment approved arrangement by the holder under the Export Control Act 2020 PDF](#) [395 KB].

Building on the Digital Roadmap and digital reform activities identified through ongoing work in 'Busting Congestion for Agricultural Exporters', projects over the next 5 years will modernise our digital platforms and capability. Implementation of this proposal, which includes improved data integration and analytical capacity, will support the implementation of a number of additional technologies aimed at reducing the department's on-plant presence, as well as supporting science-based negotiations with trading partners. The economic benefits of projects under this proposal will be detailed on a case-by-case basis as each are developed and implemented.

A number of other projects are also being considered by the MMWG. Further details on these will be provided as the projects evolve.

How is progress being communicated?

Since the commencement of the MMWG, the department and industry have communicated directly with establishments about a number of the modernisation proposals. Through the transition to the full implementation of the AAO model, the department has worked closely with the MMWG, and directly engaged with impacted establishments in the broader industry through a variety of means. This includes writing directly to impacted establishments; meeting one-on-one with impacted establishments on an ongoing basis to discuss the implementation of the AAO model and address any

concerns; and convening two joint department - AMIC meetings with establishments (both AMIC and non-AMIC members) to provide ongoing updates on all modernisation activities.

The co-leads of the MMWG have written to all export meat processing establishments providing an update on progress of meat modernisation year one projects.

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Document	File size
Update on meat modernisation year one projects – letter and attachment PDF	168 KB

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What else is happening?

In addition to the work outlined above, the MMWG, through a series of workshops, considered the culture between the department, as regulator, and the export meat processing sector, as regulated entities. The workshops were an opportunity for participants to examine the behaviours, attitudes and processes that create concern between the regulator and industry. Two key documents have been initially rolled out to the export meat processing sector: the Joint Statement of Intent and a feedback and complaints handling process.

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The Joint Statement of Intent is intended to define the benchmark for professional and productive behaviours throughout the export meat supply chain, including on-plant, between the department and export meat establishments. The Joint Statement of Intent aims to foster an agreed understanding of the expected standards of behaviours, and allows identification of sub-standard behaviour to be addressed. It will also serve as a mechanism to build trust between the department and export meat participants.

Intended efficiencies to be gained include:

- effective and efficient regulation and stakeholder operations through improved communication and defined communication channels;
- a reduction in disagreement and complaints therefore a more efficient use of resources and time; and
- a reduction in risks to the mental health and well-being of all people involved.

Aligning with the existing departmental client service charter, a dedicated export meat sector Feedback and Complaints Handling Process has been developed to establish clear channels to escalated matters where there is a disagreement with the department, as regulator, on-plant. The mechanism is intended

to provide a clear process for managing feedback and complaints that are unable to be resolved on-plant.

The department and leaders of the Australian export meat processing industry are committed to working together to advance opportunities for export meat sectoral success. By embedding a constructive and productive relationship between the department and the export meat sector it regulates, and by fostering continuous and forward improvements, the sector and the department will jointly encourage success.

The co-leads of the MMWG have written to all export meat processing establishments introducing these documents, and feedback from industry is welcomed.

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Document	File size
Joint Statement on Workplace Culture in the meat sector letter and attachment PDF	1.2 MB
Joint Statement on Workplace Culture in the meat sector letter and attachment DOCX	70 KB

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The department and the MMWG are committed to communicating with industry about the modernisation projects.

For more information about the Meat Modernisation program, please contact us at meatmodernisation@awe.gov.au.

Source: <https://www.agriculture.gov.au/biosecurity-trade/export/meat-modernisation>